

Principal Component Analysis II

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Recap

- Last time we covered **PCA I**:
 - Procedure.
 - Loadings.
 - Scores.

Introduction

- May use PCA to reduce dimensionality when there are many correlated variables.
 - Allowing us to focus on the first few dimensions and still see broad patterns in our data.
- *More effective ways to implement this method.*
- How many principal components are needed?

Base R Implementation

- We can use the `princomp()` function from base R (stats).
 - In Python.
- Usage:

```
Data.PCA <- princomp(data, cor = TRUE)
```

```
summary(Data.PCA, loadings = TRUE, cutoff = 0)
```

```
plot(Data.PCA) - Scree plot
```
- Note: If you set `cor=FALSE` your data should be scaled.

Example 1

- Import the *Basketball.csv* dataset to do the following:
 - ① Use the `princomp()` function to conduct PCA on the numeric variables of the dataset.
 - ② Summarize the results.
 - ③ Generate a scree plot.
- What do you notice?

h2o Package

- We can also use the h2o package for dimension reduction.
 - There is also a Python version and in general this package automates scaling and cleaning processes.
- Usage:

`h2o.no_progress()` - *turn off progress bars*

`h2o.init(max_mem_size = "5g")` - *connect to H2O instance*

`data.h2o <- as.h2o(data)` - *convert data*

```
my_pca <- h2o.prcomp(  
  training_frame = data.h2o,  
  pca_method = "GramSVD",  
  k = ncol(data.h2o),  
  transform = "STANDARDIZE",  
  impute_missing = TRUE,  
  max_runtime_secs = 1000)
```

Some h2o PCA Arguments

- `pca_method`: Method used to compute principal components.
 - "GramSVD": Best for mostly numeric data.
 - "GLRM": Recommended when categorical variables are present.
- `k`: Number of principal components to compute.
 - Typically set to p .
- `transform`: Specifies whether the data should be standardized before PCA.
- `impute_missing`: If TRUE, missing values are replaced with the column mean.
- `max_runtime_secs`: Maximum training time (seconds).
 - *Useful for limiting runtime on large datasets.*

Illustrative Example 1

- ① Run the provided code to conduct PCA on the *iris* dataset.
- ② Which features contribute most to the first PC?
 - What about the second PC?
- ③ How do the different features contribute to PC1 and PC2?

Example 2

- Import the *Basketball.csv* dataset to do the following:
 - ① Use the h2o package to conduct PCA on the numeric variables of the dataset.
 - ② Which features contribute most to the first PC?
 - What about the second PC?
 - ③ How do the different features contribute to PC1 and PC2?
- What do you notice?

Number of Principal Components

Number of Principal Components

- If we use all of the principal components, we have just rotated our data and not actually reduced the dimensionality.
- To reduce the dimensionality, we will only focus on a few *important* PCs.
- There are a few different approaches that may yield different results.
 - 1 Scree plots.
 - 2 As many eigenvalues as necessary to account for 75% or 90% of the variation.
 - 3 Eigenvalue criterion.

(1) Scree Plots

- A **scree plot** shows the proportion of variance explained by each principal component, with the PCs plotted in order.
- We can make selections off of the following criteria:
 - Look for a sharp bend or change in slope in the proportion of variance explained.
 - Focus on those principal components that explain more variation than average.
 - Focus on all principal components that explain more variation than *expected*.

Scree Plots in R

- Base R:

```
eigen.prop <- Data.PCA$sdev / sum(Data.PCA$sdev)
barplot(eigen.prop)
abline(h = mean(eigen.prop), col = "red") - Add average line
```

- h2o in R:

```
data.frame(
  PC = my_pca@model$importance %>% seq_along,
  PVE = my_pca@model$importance %>% .[2,] %>% unlist())
%>%
  ggplot(aes(PC, PVE, group = 1, label = PC)) +
  geom_point() +
  geom_line() +
  geom_text(nudge_y = -.02)
```

Illustrative Example 2

- ① Run the provided code to conduct PCA on the *iris* dataset in base R.
- ② Render a Scree plot of the PCs.
 - How many PCs should we select?
- ③ Use your model analysis from Illustrative Example 1 and the provided code to render a scree plot.
 - How many PCs should we select?

Example 3

- 1 Use both your base R analysis and h2o analysis to generate scree plots for the PCA of the *Basketball.csv* dataset.
- 2 How many PCs should we select?
- 3 Do the results differ across methods?

(2) Variability Explained Thresholds

- Some typical thresholds for the amount of variance explained are 75% and 90%.
- In other words, keep all PCs that explain at least that much of the variability.
- This information is easily obtained from the analysis object in R.
- *See example code to plot this information.*

Example 4

- 1 How many PCs are selected at the 75% and the 90% thresholds?
- 2 Adjust the code to plot these results.

(3) Eigenvalue Criterion

- Recall that the sum of the eigenvalues is equal to the number of variables (p).
 - These eigenvalues may be greater or less than one.
- Any eigenvalue that is greater than one, *explains over one variable's worth of the variability*.
- **This approach says to keep all PCs whose corresponding eigenvalue is greater than or equal to 1.**
 - Remember, the variance is just the squared standard deviation!

Example 5

- 1 Based on the **Eigenvalue Criterion** how many PCs should we keep in the *Basketball.csv* data?

Comments on Number of PCs

- There is an element of subjectivity in the process of selecting the number of principal components.
- In some cases, the answer may be fairly obvious.
 - In other scenarios it may be less obvious.
- As with any decision in data science, it is important to be able to justify why you made that decision.

Applications

- Principal Components can be used for statistical or machine learning.
 - Especially useful when there are many variables being considered.
- They may be used in inferential statistics.
 - Very difficult to interpret or explain the results.
- The PC are linear by nature and may fail to capture non-linear relationships in data.

Illustrative Example 3

- This example shows the process of using PCs in a machine-learning algorithm.
- Run the code and examine the results.
- Is this approach really needed?

Example 6

- 1 Repeat the process used in Illustrative Example 3 on the scaled Basketball data.
- 2 How many PCs did you select?
- 3 How accurate was this approach?

Singular Value Decomposition

- You can conduct Singular Value Decomposition (SVD) using base R:
 `prcomp(x, - dataset`
 `retx = TRUE, - return the rotated values`
 `center = TRUE, - centre each variable on zero`
 `scale. = FALSE) - scale the variables`
- Will produce similar results to PCA in base R, see the documentation for more details.

Final Thoughts

- PCA works best with many highly correlated variables.
- This is still very much a *linear* approach to understanding data.
- Principal Component Regression may be applied, but interpretations are quite difficult.
- There are other methods for reducing dimensions and understanding patterns in data.

Next Lecture

- We will discuss *K*-**Nearest Neighbours**.
- Review distance measures.
- Choosing k .
- Hyperparameter tuning.

Exercise 1

- Import the wine dataset from the *HDclassif* package.
- Normalize your data.
- Split your data into 75/25 train test datasets.
- Conduct Eigenanalysis using both methods shown in these slides using your training data.
- Determine how many PCs are needed.
- Use your PCs combined with other methods you have learned to predict classes in the testing set.
- What do you notice?

References & Resources

- ① Bakker, J. D. (2026) *Applied Multivariate Statistics in R*
 - ② Peng R. D. (2020) *Exploratory Data Analysis with R*
 - ③ Timbers T., Campbell T., and Lee M. (2024) *Data science: A first introduction*. Chapman and Hall/CRC
 - ④ Bradley Boehmke B., and Greenwell B. (2020) *Hands-On Machine Learning with R*. Taylor & Francis
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- `eigen()`
 - `princomp()`
 - `h2o.prcomp()`
 - `h2o`